NASDAQ AMZN — AMAZON.COM INC

INTERNET & DIRECT MARKETING RETAIL INDUSTRY

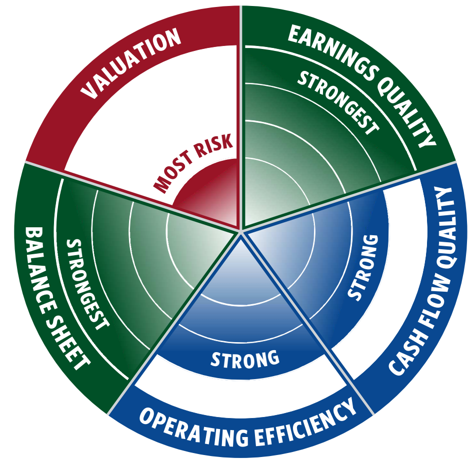
OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

OUR EVALUATION OF AMZN

AMAZON.COM INC is showing strong Earnings Quality, Balance Sheet Quality, Cash Flow Quality and Operating Efficiency, but Valuation suggests a higher amount of price risk. When combined, AMZN deserves a BUY rating.

All five dimension measures remained unchanged this quarter. These factors support the overall rating remaining unchanged.

FINANCIAL SONAR™ FOR AMZN 1ST QUARTER 2017

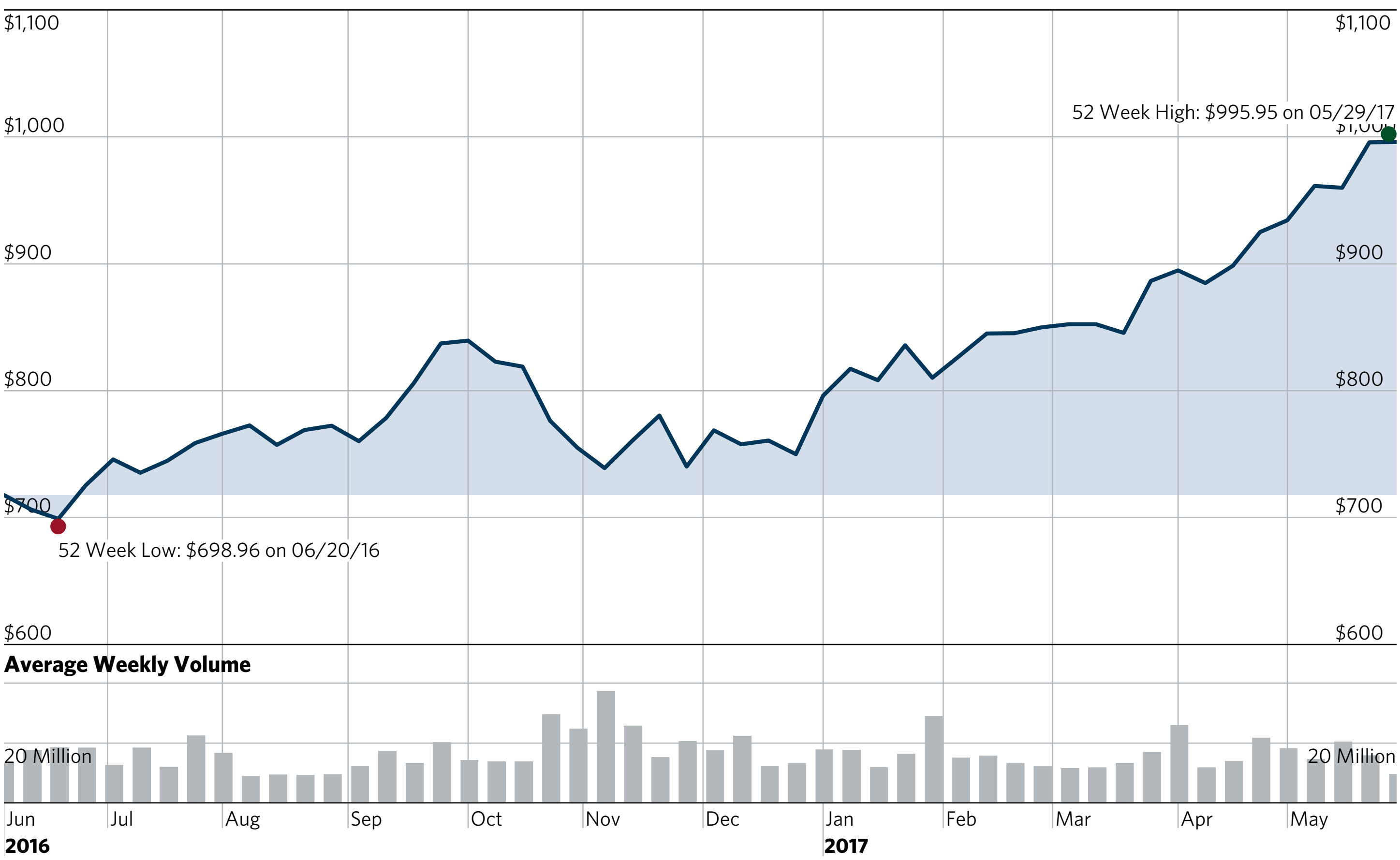


HISTORICAL RATINGS

	Q2 2016	Q3 2016	Q4 2016	**Q1 2017**
OVERALL RATING	HOLD	HOLD	BUY	BUY
EARNINGS QUALITY	STRONGEST	STRONGEST	STRONGEST	STRONGEST
CASH FLOW QUALITY	STRONG	STRONG	STRONG	STRONG
OPERATING EFFICIENCY	STRONG	STRONG	STRONG	STRONG
BALANCE SHEET	STRONGEST	STRONGEST	STRONGEST	STRONGEST
VALUATION	MOST RISK	MOST RISK	MOST RISK	MOST RISK

PRICE TRENDS AND VALUATION

Price (AS OF 06/01/17)	**$996.00**	MARKET CAP.	**$476.0 BILLION**	PRICE/SALES	**3.1**
PRICE/EARNINGS	**217.5**	PRICE/EARNINGS GROWTH	**1.8**	PRICE/CASH FLOW	**39.1**
PRICE/ADJUSTED EARNINGS	**170.5**	PRICE/ADJUSTED EARNINGS GROWTH	**144.4**	PRICE/ADJUSTED CASH FLOW	**51.7**



EARNINGS QUALITY: STRONGEST

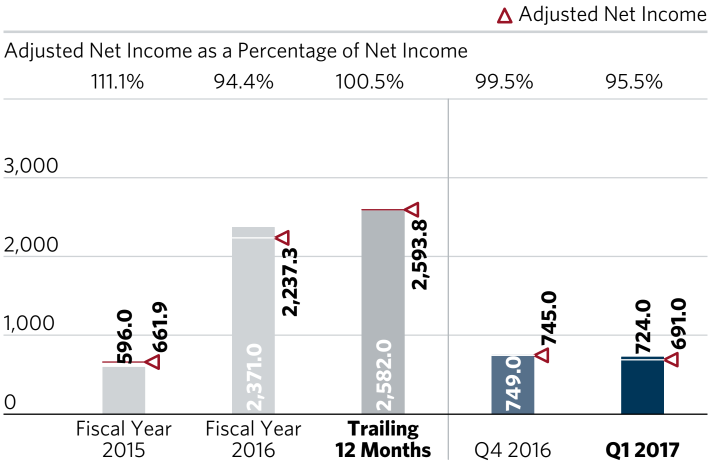
Earnings quality has long been analyzed and used by investors as a measure of the fundamental quality of the company and its future prospects. Companies may be including certain items that increase reported earnings and often the amount of cash flow supporting the earnings may be weak. Jefferson adjusts for these kinds of items and other anomalies to produce an adjusted earnings number that more accurately reflects ongoing business fundamentals at AMAZON.COM INC. Reported earnings are compared to the Jefferson adjusted earnings as a means to gauge earnings quality. Also measured is the amount of cash flow that underpins earnings.

The earnings quality for AMZN remains STRONGEST.

The reported net income dropped to $724.0M from $749.0M in the previous quarter, and the quality of that reported net income also declined. In addition, operating cash flow decreased during the last quarter to -$1,590M from $10,652M. Though both Earnings Quality measures declined, the changes were not sufficient to lower the overall rating.

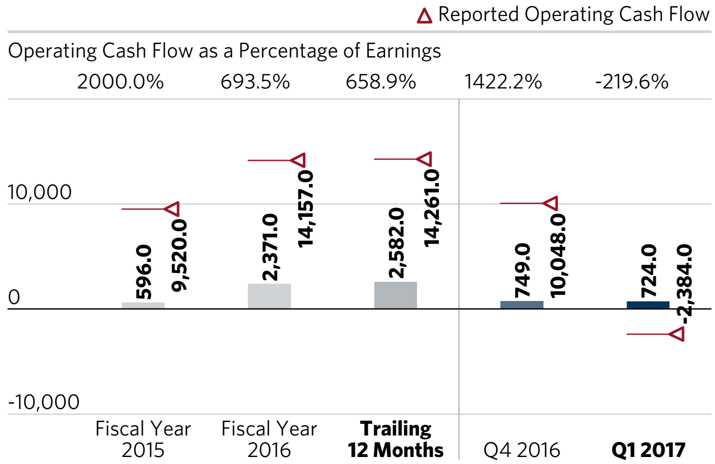
NET INCOME VS. ADJUSTED NET INCOME

$ IN MILLIONS



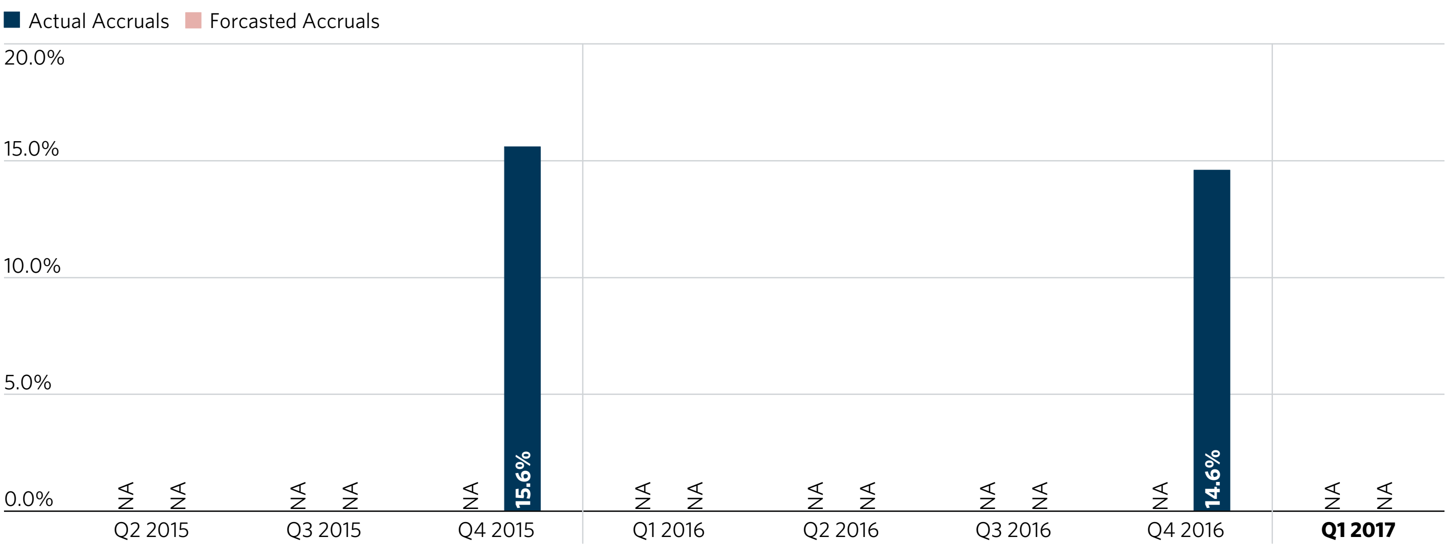
EARNINGS VS. OPERATING CASH FLOW

$ IN MILLIONS



ACCRUALS

% OF SALES



NASDAQ **AMZN** **AMAZON.COM INC**

INTERNET & DIRECT MARKETING RETAIL INDUSTRY — OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

CASH FLOW QUALITY: STRONG

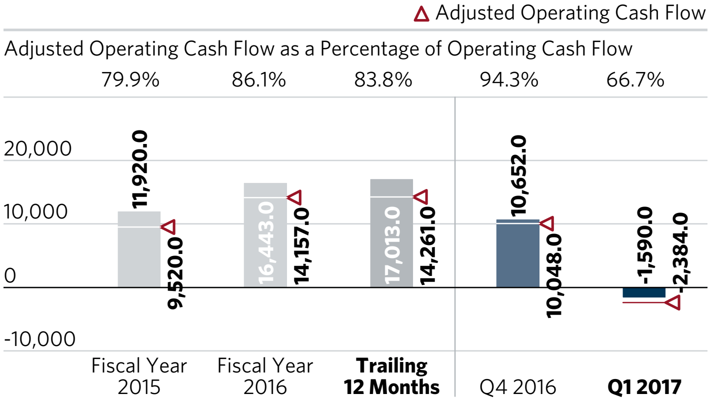
Cash flow is considered by many investors to be the ultimate measure of company performance and more reliable than reported earnings. The Jefferson measurement eliminates items that are not part of recurring cash flow or the result of actual operations for AMAZON.COM INC. These adjustments to cash flow provide a truer measure of cash flow and the resultant cash flow quality rating.

The cash flow quality rating for AMZN remains STRONG as the operating cash flow quality year over year improved.

Even though the annual operating cash flow quality improved this fiscal year with a reported number of $16,443M and an adjusted number that was $2,286M less than reported, the decline in the quarterly operating cash flow quality offset this with a reported number of -$1,590M and an adjusted number that was $794.0M less than reported. This represents deterioration from the previous period when the reported number was closer to the adjusted number.

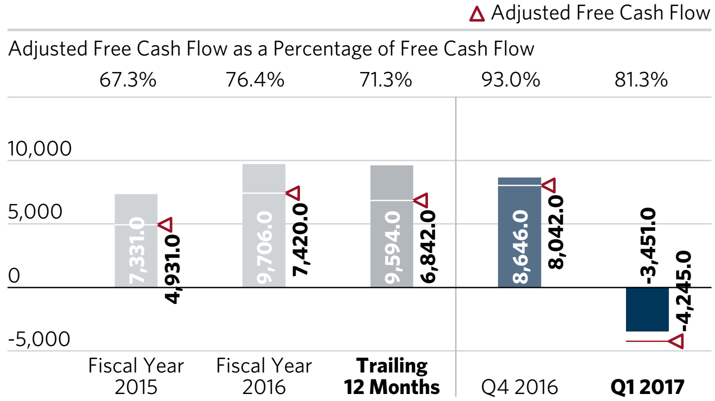
OPERATING CASH FLOW

$ IN MILLIONS

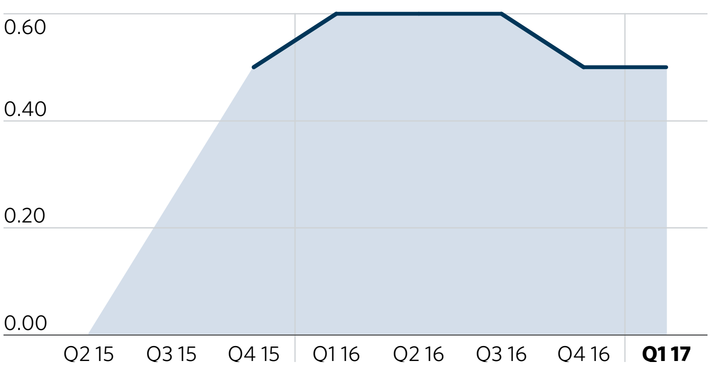


FREE CASH FLOW

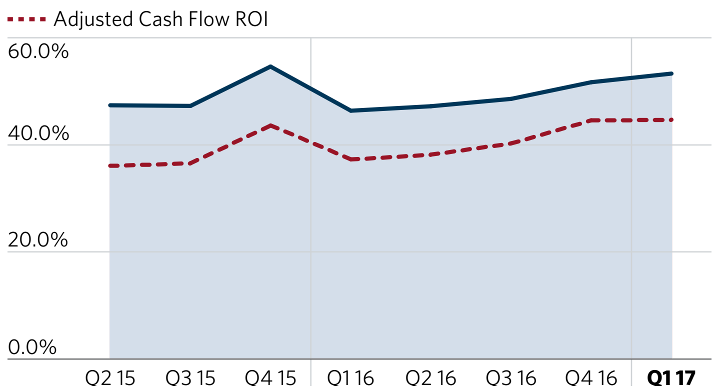
$ IN MILLIONS



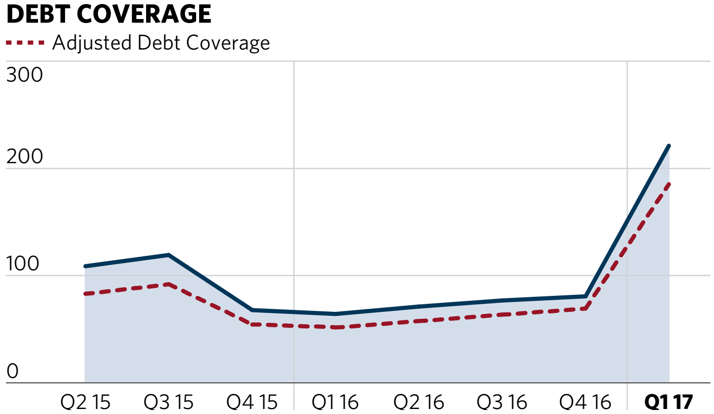
FLOW RATIO



CASH FLOW ROI



DEBT COVERAGE



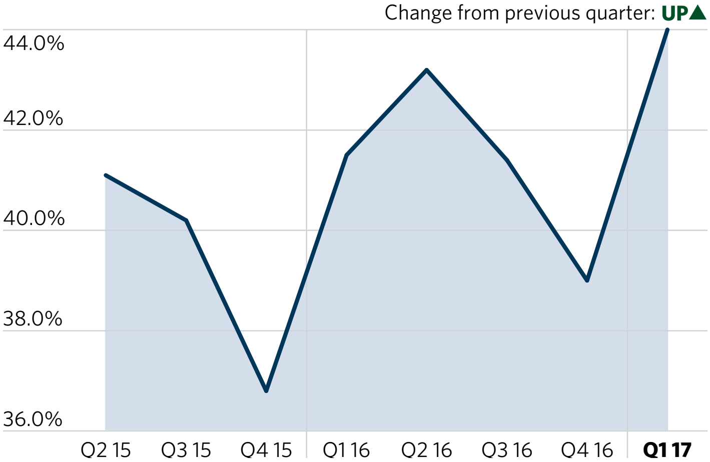
OPERATING EFFICIENCY: STRONG

The ability of AMAZON.COM INC to earn a profit is in part the result of how rapidly it converts its collection of assets into revenues and the resulting earnings and cash flow margins available. Operating Efficiency is measured by a combination of factors including: return on invested capital (ROIC), gross margin, EBIT margin, asset turnover, equity turnover, and lastly Staff, General, and Administrative costs as a percentage of sales (SGA).

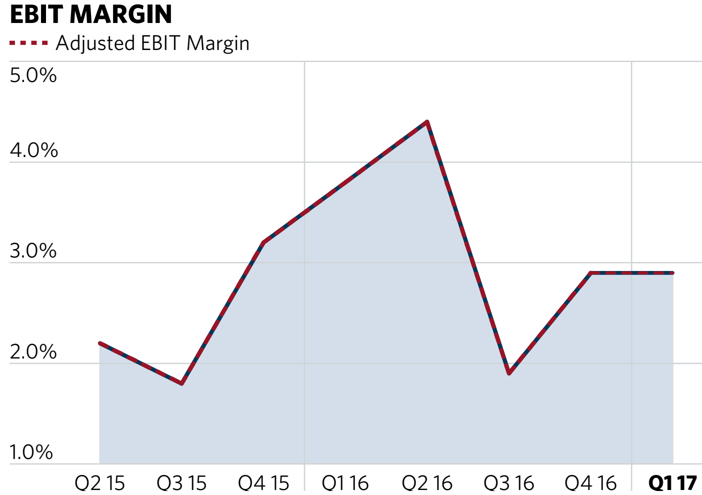
The operating efficiency rating for AMZN remains STRONG as the return on incremental investment capital, net margin, gross margin, and ROIC strengthened over the last quarter, while at the same time the SGA costs and equity turnover weakened. SGA costs offset this, deteriorating from 30.8% to 34.2% of sales. The higher SGA costs indicate that AMZN has more of their revenues devoted to overhead costs.

GROSS MARGIN

Change from previous quarter: **UP▲**

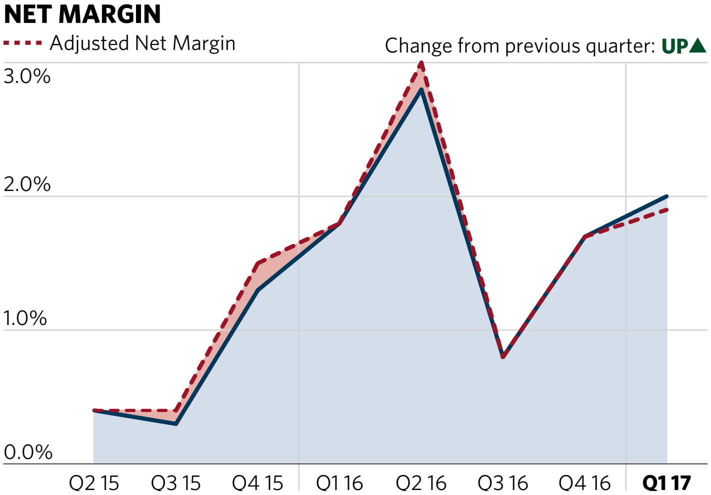


EBIT MARGIN



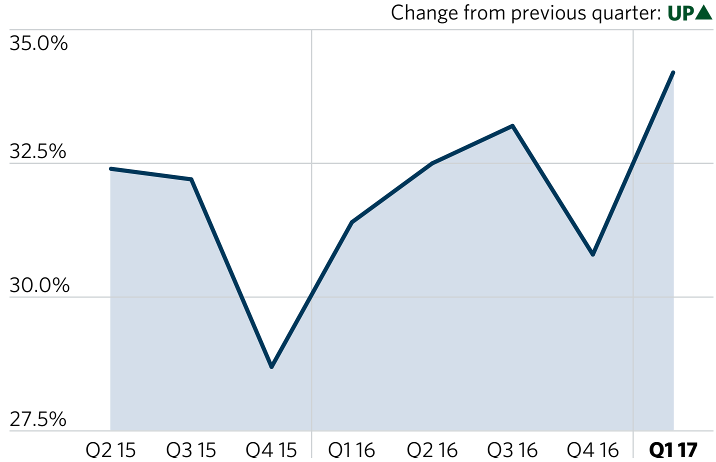
NET MARGIN

Change from previous quarter: **UP▲**



SG&A AS A PERCENTAGE OF SALES

Change from previous quarter: **UP▲**



NASDAQ **AMZN**

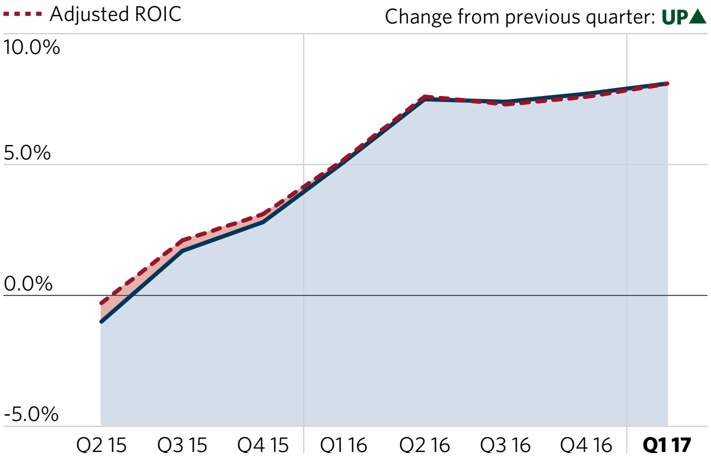
AMAZON.COM INC

INTERNET & DIRECT MARKETING RETAIL INDUSTRY

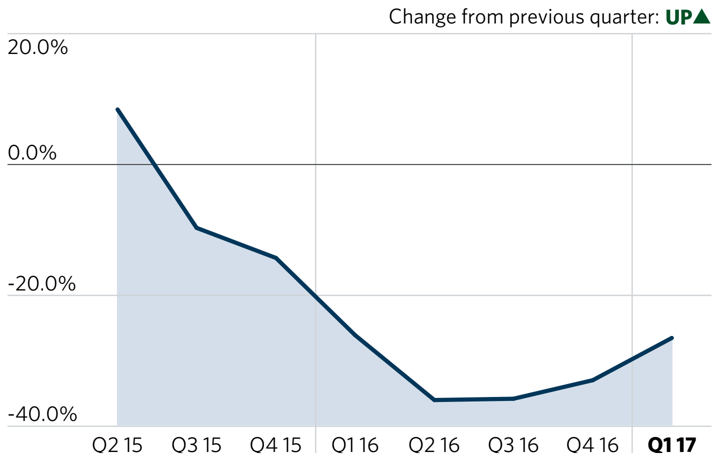
OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

OPERATING EFFICIENCY: STRONG

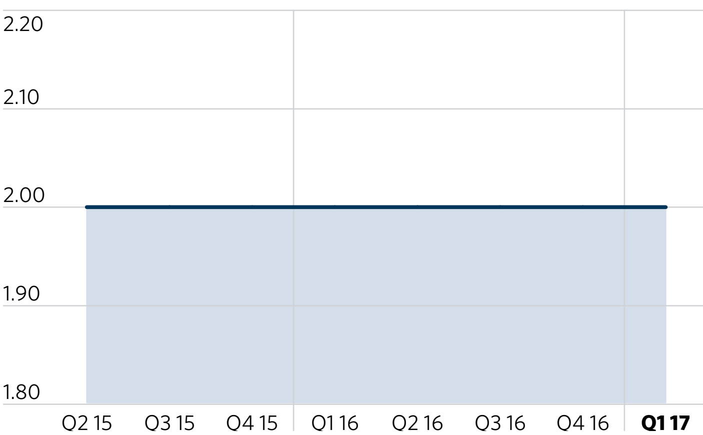
ROIC



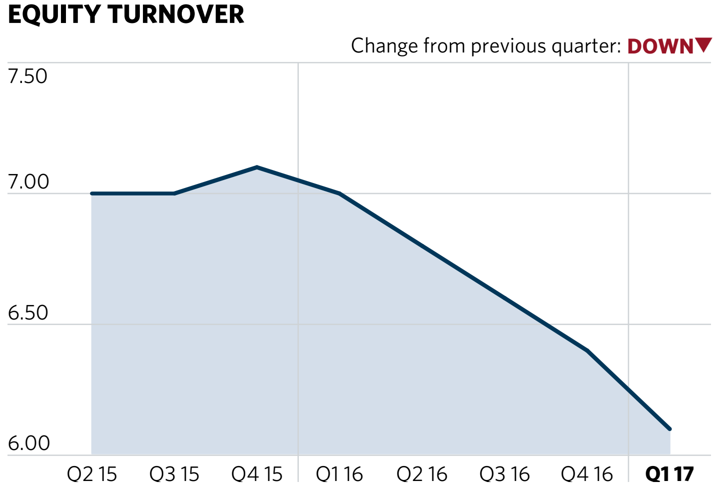
RETURN ON INCREMENTAL INVESTED CAPITAL



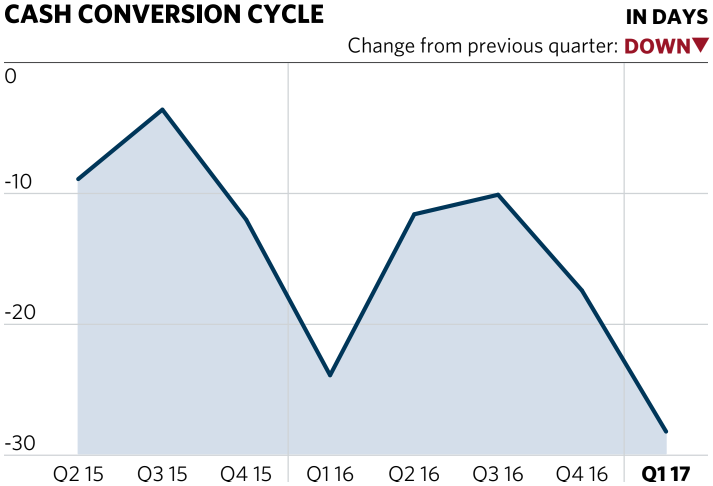
ASSET TURNOVER



EQUITY TURNOVER



CASH CONVERSION CYCLE



NASDAQ **AMZN** **AMAZON.COM INC**

INTERNET & DIRECT MARKETING RETAIL INDUSTRY OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

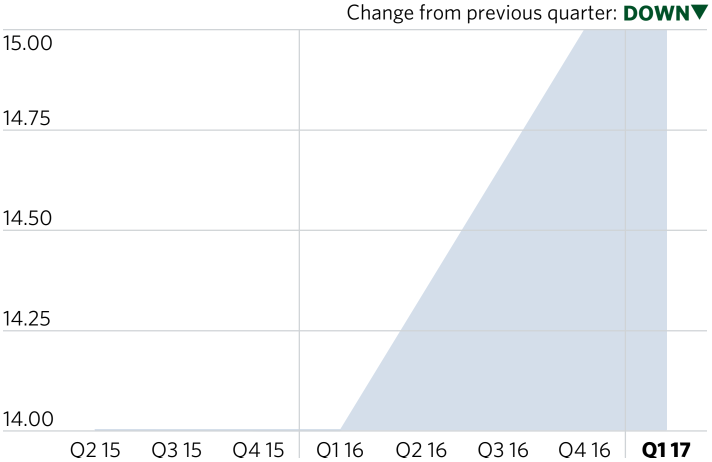
BALANCE SHEET QUALITY: STRONGEST

The balance sheet shows the ability of AMAZON.COM INC to pay its bills and fund future growth. It also provides clues to aggressive accounting since reported earnings that do not generate cash flow generally end up somewhere on the balance sheet. The following are analyzed in determining balance sheet quality: quick ratio, current ratio, cash position, accounts receivable days sales outstanding (AR DSOs), and number of days inventory is held prior to sale to customers (Inv Days).

The balance sheet rating for AMZN remains STRONGEST.

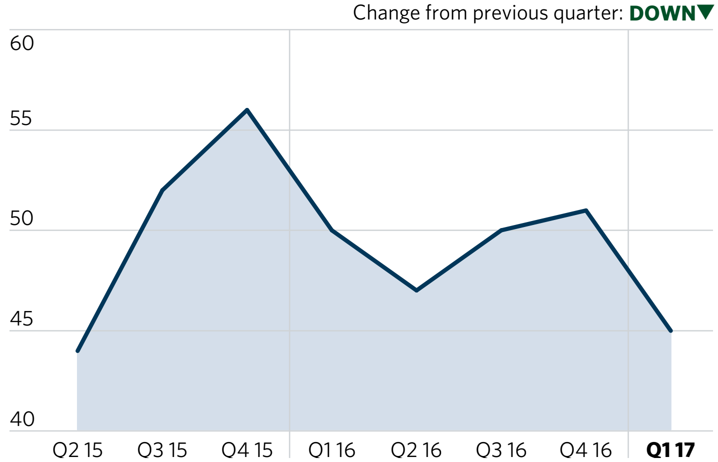
RECEIVABLES DAYS OUT

Change from previous quarter: **DOWN▼**



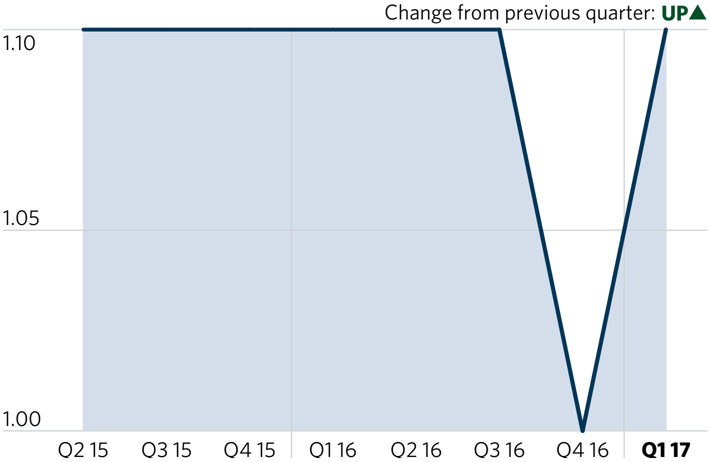
INVENTORY DAYS OUT

Change from previous quarter: **DOWN▼**

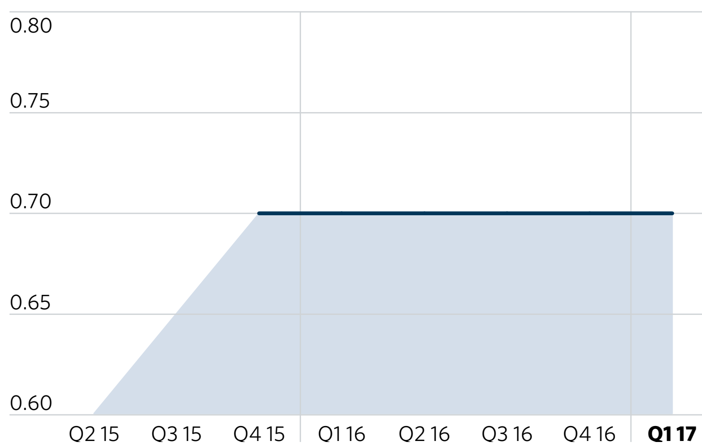


CURRENT RATIO

Change from previous quarter: **UP▲**



QUICK RATIO

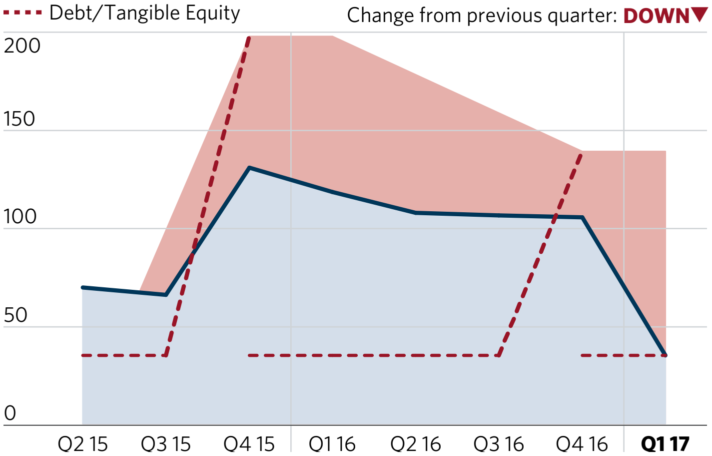


NASDAQ **AMZN** **AMAZON.COM INC**

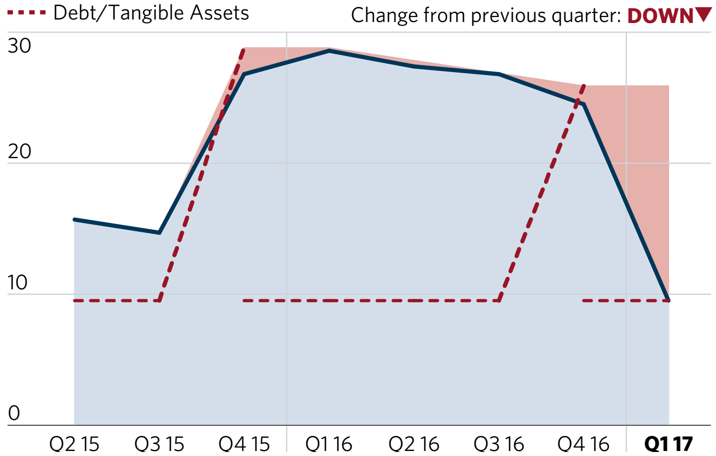
INTERNET & DIRECT MARKETING RETAIL INDUSTRY OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

BALANCE SHEET QUALITY: STRONGEST

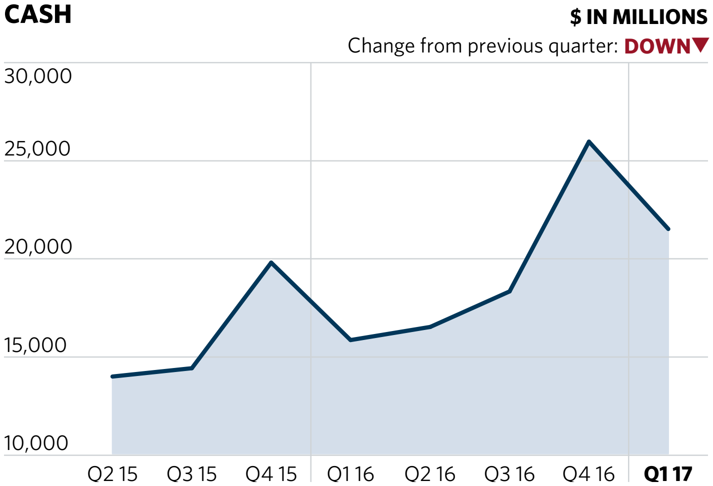
DEBT/EQUITY



DEBT/ASSETS



CASH



NASDAQ **AMZN** **AMAZON.COM INC**

INTERNET & DIRECT MARKETING RETAIL INDUSTRY OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

VALUATION: MOST RISK

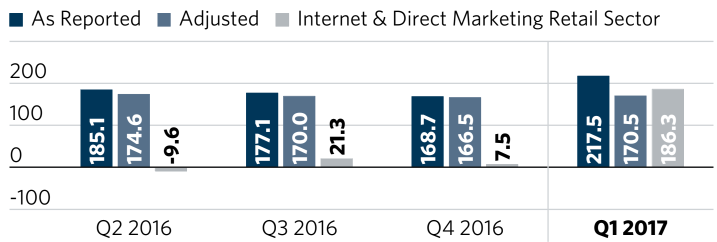
An unfavorable valuation (a MEDIUM RISK or MOST RISK rating) implies higher potential downward price risk that is evidenced by a company price multiple that is higher than the corresponding sector average. The valuation rating is based on both absolute and relative levels at AMAZON.COM INC compared to its peers within its sector based on price to earnings (PE), price to earnings growth (PEG), price to sales (PS), and price to cash flow (PCF).

The valuation rating for AMZN remains a MOST RISK as the price to sales and price to cash flow ratios became more attractive over the last quarter while the PEG and price to earnings ratios became less attractive.

Even though AMZN's PS ratio relative to the sector average PS improved from 1.59X to 0.69X during the last quarter, the decline in the PEG ratio relative to the sector average PEG offset this by deteriorating from 0.08X to 1.00X.

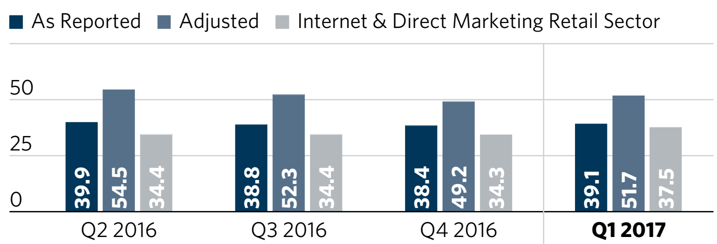
PRICE/EARNINGS

LAST 2 YEARS	RANGE LOW	RANGE HIGH	AVERAGE
Reported Price/Earnings	168.70	894.10	338.00
Adjusted Price/Earnings	-4685.80	669.30	-335.66
Sector Price/Earnings	107.70	648.10	251.34



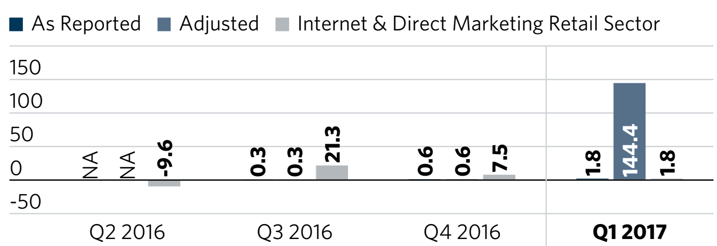
PRICE/CASH FLOW

LAST 2 YEARS	RANGE LOW	RANGE HIGH	AVERAGE
Reported Price/Cash Flow	38.40	47.10	41.24
Adjusted Price/Cash Flow	49.20	77.60	59.43
Sector Price/Cash Flow	33.30	38.40	35.42



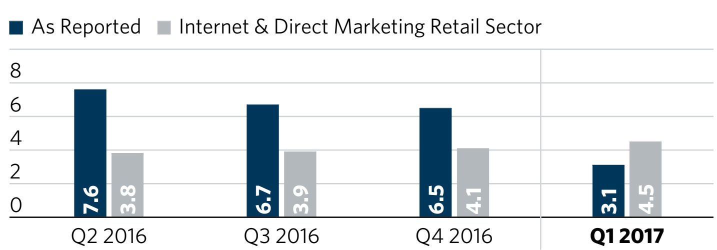
PRICE/EARNINGS GROWTH

LAST 2 YEARS	RANGE LOW	RANGE HIGH	AVERAGE
Reported Price/Earnings Growth	0.30	1.80	0.90
Adjusted Price/Earnings Growth	0.30	144.40	48.43
Sector Price/Earnings Growth	-17.70	21.30	-2.31



PRICE/SALES

LAST 2 YEARS	RANGE LOW	RANGE HIGH	AVERAGE
Reported Price/Sales	3.10	7.60	6.26
Sector Price/Sales	3.60	4.50	3.98



NASDAQ **AMZN** **AMAZON.COM INC**

INTERNET & DIRECT MARKETING RETAIL INDUSTRY OVERALL RATING FOR **1ST QUARTER 2017** **BUY**

PEER VALUATION COMPARISON

TICKER	COMPANY	MARKET CAP.	PRICE ON 06/01/17	PRICE/ EARNINGS	PRICE/ SALES	PRICE/ CASH FLOW	PRICE/ EARNINGS GROWTH	VALUATION RATING
AMZN	**AMAZON.COM INC**	**$476.0 B**	**$996.00**	**217.5**	**3.1**	**39.1**	**1.8**	**MOST RISK**
PCLN	PRICELINE GROUP INC	$92.9 B	$1,890.80	42.1	8.2	35.8	1.8	**MEDIUM RISK**
NFLX	NETFLIX INC	$70.2 B	$163.00	206.3	6.9	11.9	1.0	**MEDIUM RISK**
CTRP	CTRIP.COM INTL LTD -ADR	$29.4 B	$56.10	-16.1	8.6	NA	NA	**MEDIUM RISK**
EXPE	EXPEDIA INC	$20.3 B	$146.80	78.5	2.2	18.2	4.1	**LOW RISK**
VIPS	VIPSHOP HOLDINGS LTD -ADR	$6.7 B	$13.20	0.0	1.0	NA	0.0	**LEAST RISK**
TRIP	TRIPADVISOR INC	$5.1 B	$40.00	55.5	4.2	30.6	NA	**MOST RISK**
INTERNET & DIRECT MARKETING RETAIL SECTOR		**$37.6 B**	—	**186.3**	**4.5**	**37.5**	**1.8**	—

PEER OPERATING COMPARISON

TICKER	COMPANY	MARKET CAP.	GROSS MARGIN (%)	EBIT MARGIN (%)	NET MARGIN (%)	ROIC (%)	CASH CONVERSION CYCLE (DAYS)	OPERATING EFFICIENCY RATING
AMZN	**AMAZON.COM INC**	**$476.0 B**	**44.0**	**2.9**	**2.0**	**8.1**	**-28.0**	**LOW RISK**
PCLN	PRICELINE GROUP INC	$92.9 B	96.5	23.0	18.8	13.5	0.0	**MOST RISK**
NFLX	NETFLIX INC	$70.2 B	88.0	9.7	6.8	6.3	0.0	**LOW RISK**
CTRP	CTRIP.COM INTL LTD -ADR	$29.4 B	80.5	6.8	1.4	0.4	0.0	**LOW RISK**
EXPE	EXPEDIA INC	$20.3 B	81.8	-2.3	-3.9	3.5	0.0	**MOST RISK**
VIPS	VIPSHOP HOLDINGS LTD -ADR	$6.7 B	23.4	4.2	4.1	22.0	-20.0	**LOW RISK**
TRIP	TRIPADVISOR INC	$5.1 B	95.4	7.3	3.5	6.5	0.0	**LOW RISK**

DEFINITIONS

Adjusted Net Income: Adjusted Net Income is a company's reported net income less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing earnings.

Accruals – Forecasted and Actual: The comparison of forecasted and actual accruals identifies a discretionary build not attributable to a company's sales growth, and could be a sign of poor earnings quality. For our purposes, the forecasted accrual component is an aggregate measurement of total accruals (short-term balance sheet accounts) that distinguishes between "normalized" and "extraordinary" accruals. The normalized accruals are based on historical relationships between sales and accruals and are dynamically adjusted over time to account for changes in the ratio between these two variables. Normally, short term accruals will grow as sales grow – i.e., the "normalized" measure. Discretionary accruals are the portion of accruals that are in excess of the base factor and therefore exceed the normal and are "extraordinary".

Adjusted Operating Cash Flow: Adjusted Operating Cash Flow is reported operating cash flow less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing cash flow from operations.

Adjusted Free Cash Flow: Adjusted Free Cash Flow is reported operating cash flow less adjustments for one-time, non-operating items and capital expenditures. This provides a more realistic picture of a company's ongoing cash generation from operations after capital investments.

Flow Ratio: The Flow Ratio is a measurement of management's effectiveness in managing its working capital to maximize the company's cash flows. The measure is a ratio of a company's non-cash current assets to its non-interest bearing short-term liabilities.– These non-cash assets include items such as accounts receivable (which are essentially interest-free loans to customers) and inventory (which is subject to obsolescence or spoilage). The non-interest bearing liabilities are essentially interest-free loans to the company. A lower ratio implies tighter cash management for a company as it has less cash tied up in non-cash current assets and is able to utilize interest free loans from suppliers.

Cash Flow Return on Investment: Cash Flow ROI is a measure of a company's ability to generate operating cash flow from its invested capital. Many analysts consider this measure preferable to an earnings return measure such as ROE since cash flow is considered a more reliable measure.

Adjusted Cash Flow Return on Investment: Adjusted Cash Flow ROI is a measure of the ability to generate operating cash flow from its investment in capital calculated using a company's adjusted cash flow.

Debt Coverage: Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated from continuing operations.

Adjusted Debt Coverage: Adjusted Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated from continuing operations, calculated using a company's adjusted cash flow.

Adjusted Return on Invested Capital: Adjusted ROIC assesses a company's efficiency at allocating the capital to profitable investments using a company's adjusted net income (see above) yielding a measure of how well a company is using its capital to generate returns.

Adjusted EBIT Margin: Adjusted EBIT Margin is a measure of a company's earnings before interest and income taxes less adjustments for one-time and non-operating items divided by a company's sales.

Adjusted Net Margin: Adjusted Net Margin is a measure of a company's net income less adjustments for one-time and non-operating items divided by a company's sales.

Return on Incremental Invested Capital: ROIIC measures the relationship between incremental investment and incremental net operating profit after tax. This provides a measure of the returns a company is earning on recent investments rather than all investments as measured by ROIC.

Cash Conversion Cycle: The Cash Conversion Cycle measures the number of days working capital is tied up from the date of purchase of raw materials until the collection of cash from the sale of the product.

Debt to Tangible Equity: Debt to Tangible Equity is a ratio of a company's debt to equity less adjustments for goodwill and other intangible assets yielding tangible equity.

Debt to Tangible Assets: Debt to Tangible Assets is a ratio of a company's debt to total assets less adjustments for goodwill and other intangible assets.

Price/Adjusted Earnings: Adjusted Price/Earnings is a relative valuation measure comparing a company's share price to its adjusted net income.

Price/Adjusted Cash Flow: Adjusted Price/Cash Flow is a relative valuation measure comparing a company's share price to its adjusted cash flow.

Price/Adjusted Earnings Growth: Adjusted Price/Earnings Growth is a relative valuation measure comparing a company's share price to its growth in adjusted earnings.

ABOUT THE FINANCIAL SONAR™ REPORT & METHODOLOGY

The Jefferson Financial Sonar™ ratings system classifies companies into three categories: Buy, Hold and Sell. The Financial Sonar rating is the result of a point scoring system derived from the five main criteria. The more negative the rating, the more likely the overall rating will be a Sell. More positive criteria will support an Overall Rating of Buy.

Jefferson Research & Management has developed the Financial Sonar™ Rating System which is based upon five analytical criteria: Earnings Quality, Cash Flow, Operating Efficiency, Balance Sheet, and Valuation. The first four criteria are rated in one of four categories (best to worst): Strongest, Strong, Weak, Weakest. Valuation is also rated in one of four categories (best to worst): Least Risk, Low Risk, Medium Risk, Most Risk.

ABOUT JEFFERSON RESEARCH & MANAGEMENT

Jefferson Research & Management is an independent investment research and advisory firm founded in 1989 and based in Portland, Oregon. The firm has been providing fundamental research to institutional and individual clients for more than 20 years. Financial Sonar™ ratings are based on a proprietary rating system developed by Jefferson Research & Management that measures the changes in company fundamentals using information from financial statements.

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